

INWARD CABLEGRAM

MMG 7

I.57602

FROM

TOD 23.5.1973...1400 LT

AUSTRALIAN EMBASSY
PEKING

TOR 23.5.1973...2346 LT

391 CONFIDENTIAL

AMBASSADOR'S MEETING WITH CHOU EN-LAI

YOUR 368

LAST SENTENCE PARA 10 READS: WE CAN PROBABLY ASSUME FROM THIS THAT CHINA IS AT LEAST OPEN TO THE POSSIBILITY OF FRANK IF NOT NECESSARILY CLOSE RELATIONS WITH AUSTRALIA.

2. WE WILL BE SENDING SEPARATELY A MORE DETAILED REVIEW AND ASSESSMENT OF CHINESE ATTITUDES TOWARDS AUSTRALIA EXPRESSED IN DISCUSSIONS WITH US AND WITH DR CAIRNS, BUT THE POINT ABOUT THIS EXCHANGE IS THAT WHILE CHOU CHARTED A POSSIBLE COURSE HE DID NOT INDICATE THAT HE SAW THIS AS LEADING INEVITABLY TO AN INTIMATE RELATIONSHIP.

WE THINK IT COULD WELL DO.

BUT WE MUST SURELY BE A LITTLE CAUTIOUS.

THESE ARE EARLY DAYS.

OCCASIONAL FRANK EXCHANGES COULD EASILY TAKE PLACE WITHOUT A MORE SUBSTANTIVE RELATIONSHIP EVEN DEVELOPING..

AND ALTHOUGH WE ARE RECEIVING PARTICULARLY POSITIVE EXPRESSIONS OF INTEREST AND GOODWILL, THESE HAVE BEEN FAIRLY GENERAL.

WE SHOULD BE LOOKING FOR MORE SPECIFIC INDICATIONS FROM THE CHINESE SIDE, SINCE THE CHINESE THEMSELVES HAVE GIVEN FEW EXPLICIT INDICATIONS OF HOW THEY WANT THE RELATIONSHIP TO GO IN POLITICAL TERMS.

A FURTHER REASON FOR CAUTION IS THE FACT THAT MANY GOVERNMENTS ARE BEING SMILED UPON BY CHINA, AND WE WOULD NOT WISH TO IMPLY THAT OUR RECEPTION HERE IS UNIQUE.

(IN TERMS OF PRACTICAL ARRANGEMENTS, THAT POSITION IN PEKING IS CLEARLY RESERVED FOR THE UNITED STATES).

3. IT IS TRUE, OF COURSE, THAT NOT EVERY GOVERNMENT HAS RECEIVED THE ATTENTIONS WE HAVE.

WE SHOULD BE WELL PLEASED WITH DEVELOPMENTS SO FAR AND WE BELIEVE THERE ARE GOOD PROSPECTS FOR A CONSTRUCTIVE RELATIONSHIP, WHICH WE WILL ELABORATE FURTHER IN OUR REVIEW.

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BUT AT THIS POINT WE BELIEVE IT IS MOST IMPORTANT TO EMPHASISE, FIRST, THAT WE SHOULD TAKE ADVANTAGE OF THE CURRENT CHINESE MOOD TO PRESENT SOME MAJOR CONSTRUCTIVE POLITICAL INITIATIVE, AND SECONDLY, THAT WE SHOULD NOT OVER-INFLATE PUBLICLY WHAT HAS BEEN ACHIEVED SO FAR.

(WE ARE THINKING PARTICULARLY OF THE RECENT AUSTRALIAN TRADE MISSION AND OF THE ADVERSE CHINESE REACTION TO PUBLIC CANADIAN CLAIMS TO A PRIVILEGED TRADING POSITION WITH CHINA.

THE FRENCH, ALSO, APPEAR TO BE EXPERIENCING A SOMEWHAT SIMILAR REACTION, WHEREAS THE BRITISH, WHO HAVE NEVER OVER-STATED THEIR POSITION (OR BROADCAST PUBLICLY EVERYTHING THE CHINESE SAY TO THEM IN PRIVATE) ARE NOW IN A MOST FAVOURED SITUATION).

4. YOUR CABLE 363.

WE WERE, OF COURSE, AWARE OF PRESENT THINKING ON A NEW REGIONAL ORGANISATION, AND WE DID NOT RAISE IT WITH CHOU EN-LAI.

HE HIMSELF RAISED IT, AND WE DID NOT THEN TAKE IT UP.

WE HAD NOT RECEIVED YOUR SAVINGRAM 007 WHEN MEETING WITH CHI PENG-FEI TOOK PLACE, BUT WE DID NOT PRESS THE ISSUE WITH HIM.

WE AGREE THAT IT IS MOST USEFUL TO HAVE INDICATIONS OF CHINESE THINKING.

THEY HAVE CLEARLY STUDIED OUR PROPOSALS CLOSELY AND IN PRINCIPLE FIND THEM ACCEPTABLE.

IT IS POSSIBLE THAT THEY MAY INITIATE DISCUSSION ON THE SUBJECT.

PRIME MINISTER
MINISTER OF STATE
FOREIGN AFFAIRS
MIN AND DEPT DEFENCE
JIO
PMS

ACTION: NA

SEC DEPSEC(A) DEPSEC(B) PR MCO MR BODY FAS(SA) SEA MN
FAS(NWA) NA WAME FAS(PW) PC ECSA FAS(DEF) DP IC FAS(DVP)
ICR FAS(IO) EP UNIA FAS(CL) LT FAS(MS)
BANGKOK DACCA HONG KONG JAKARTA KUALA LUMPUR LONDON MANILA
MOSCOW NEW DELHI NEW YORK (UN) OTTAWA PARIS SINGAPORE TOKYO
WASHINGTON WELLINGTON

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